Shipping, Delivery and Lost-Parcel Policy

KARTWAY OPERATIONAL POLICY MANUAL ## SECTION 4: SHIPPING, TRANSIT, AND DELIVERY STANDARDS Document ID: KW-POL-042 Effective Date: October 1, 2024 Applies To: All Tier 1, Tier 2, and Tier 3 Customer Support Agents, Escalations Team, and Logistics Operations

4.1 Delivery Service Level Agreements (SLAs)

4.1.1 Kartway offers three distinct shipping tiers. Delivery SLAs are calculated in business days, excluding Sundays and federal holidays, starting from the calendar day following order confirmation (Day 0).

4.1.2 Metro and Non-Metro classifications are determined strictly by the first three digits of the destination postal code, as defined in Schedule A of the Kartway Logistics Directory.

* Tier 1: Kartway Express (Air)
* Metro Delivery SLA: 2 business days.
* Non-Metro Delivery SLA: 4 business days.
* Tier 2: Kartway Standard (Ground)
* Metro Delivery SLA: 5 business days.
* Non-Metro Delivery SLA: 8 business days.
* Tier 3: Kartway Economy (Bulk/Freight)
* Metro Delivery SLA: 9 business days.
* Non-Metro Delivery SLA: 14 business days.

4.1.3 Exceptions to standard SLAs apply during designated peak operational periods (November 25 through December 31 and the calendar week containing Kartway's annual "Blue Light Special" sale in July). During these periods, all SLAs are automatically extended by exactly 3 business days. Agents must communicate this extended SLA when handling inquiries originating within these windows.

4.2 Delayed Shipments and Compensation Ladder

4.2.1 A shipment is formally classified as "Delayed" if tracking shows no delivery scan and the shipment exceeds the applicable SLA outlined in Section 4.1 by 24 hours or more, provided the carrier has not posted a verified weather or force majeure exception.

4.2.2 Agents must apply the following mandatory compensation ladder for delayed shipments upon customer contact, issuing the credit to the customer's Kartway Wallet within 2 business hours of the interaction:

* Delay of 1 to 3 business days past SLA: Issue a $10.00 Kartway Credit and refund 50% of the original shipping fee.
* Delay of 4 to 7 business days past SLA: Issue a $25.00 Kartway Credit and a 100% refund of the original shipping fee.
* Delay of 8 or more business days past SLA: Issue a full refund of the item purchase price plus shipping, allowing the customer to retain the item free of charge if it eventually arrives. Agents must also apply a 500-point loyalty bonus (equivalent to a $25 value) to the customer account.

4.3 Lost-in-Transit Declaration Threshold

4.3.1 An item cannot be declared "Lost in Transit" until a specific number of consecutive calendar days have elapsed without a tracking scan update, dependent on the shipping tier:

* Kartway Express: 7 calendar days without a scan.
* Kartway Standard: 12 calendar days without a scan.
* Kartway Economy: 18 calendar days without a scan.

4.3.2 Once the threshold in 4.3.1 is reached, the agent must immediately initiate a carrier trace ticket. If the carrier fails to locate the shipment within 48 hours of trace initiation, the system automatically converts the order status to "Confirmed Lost," and the agent is authorized to process an immediate replacement order with Express shipping at no additional cost, or a full original-form-of-payment refund.

4.4 Disputed Delivery ("Delivered, Not Received") Process

4.4.1 When a customer asserts they have not received a package that bears a carrier scan of "Delivered," the agent must adhere to the following four-step verification and resolution protocol.

4.4.2 Step 1: Cooling Period and Verification. The customer must wait 24 hours from the exact timestamp of the "Delivered" scan before an agent can open a dispute claim, as carrier scans occasionally precede actual drop-off by up to one business day. The agent must verify the shipping address provided at checkout against the delivery address recorded in the carrier's geo-tag data.

4.4.3 Step 2: Carrier Investigation. If the geo-tag matches the delivery address, the agent must file a formal driver inquiry with the respective courier partner (e.g., SwiftPost, Apex Logistics). The courier is contractually bound to provide delivery confirmation details (driver notes, photographic proof, or GPS drop coordinates) within 48 business hours.

4.4.4 Step 3: Resolution Tiers based on Customer History.
* *Customer Lifetime Loss Rate < 2% (Standard Customer):* If the courier fails to provide photographic proof or GPS confirmation within 48 hours, the agent must issue a one-time courtesy replacement or full refund without requiring a police report.
* *Customer Lifetime Loss Rate ≥ 2% or Order Value Exceeds $500.00:* The agent must request that the customer complete and submit a signed Kartway Non-Receipt Affidavit (Form NR-99) within 7 calendar days. Upon receipt of the signed affidavit, the refund or replacement is released.

4.4.5 Step 4: Carrier Claim Settlement. All payouts resulting from disputed deliveries under $500 are absorbed by the Kartway operational loss budget. Claims exceeding $500 require submission to the Risk Operations Department (risk.ops@kartway.internal) for carrier insurance recovery.

4.5 Address-Change Cutoffs

4.5.1 Customers may request a delivery address modification only while an order remains in the "Processing" or "Picking" status.

4.5.2 The hard operational cutoff for any address modification is exactly 2 hours after order placement, or when the order status transitions to "Packing/Label Created," whichever occurs first.

4.5.3 Once an order enters "Packing/Label Created" or any subsequent transit status, agents are strictly prohibited from attempting an in-transit address intercept via the carrier portal.

4.5.4 If an address change is requested past the 2-hour cutoff, the agent must advise the customer that the order cannot be intercepted. The agent must instruct the customer to allow the package to deliver to the original address or return to sender, after which a replacement or refund can be processed subject to a $15.00 restocking fee, unless the customer subscribes to Kartway Prime+.